



“If the US did not want the IMF to do this (grant fresh loan to Pakistan), the IMF would not have brought it to the board at all”

SUBHASH CHANDRA GARG
FORMER FINANCE
SECRETARY OF INDIA



“While Pakistan urgently needs investment in climate adaptation, limited fiscal space leaves the government ill-equipped to respond”

SOUMYA BHOWMICK
ECONOMIST

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achieve economic stability and growth. The results? The GDP growth rebounded to 2.5% in FY24 from 0.29% in FY23, and 2.6% in FY25. Consumer price inflation, which was 23.4% in FY24, is forecast to ease to 5.1% in FY25. In recent months, its inflation rate declined to 0.7% year-on-year in March 2025, marking the lowest level in nearly 60 years. It further decreased to 0.3% in April 2025, a new historic low. This resulted in a moderation of the policy interest rate, and partial restoration of investor confidence.

The IMF noted the improvement in its Executive Board meeting on May 9 this year for the first review of Pakistan's economic reform program under the EFF Arrangement. The IMF approved a fresh \$2.4 billion package to Pakistan, including an immediate disbursement of around \$1 billion and an arrangement under the Resilience and Sustainability Facility (RSF), allowing access to about \$1.4 billion.

“Pakistan's policy efforts under the EFF have already delivered significant progress in stabilising the economy and rebuilding confidence, amidst a challenging global environment,” the IMF said in its press release.

At the meeting, India raised concerns over the efficacy of IMF programmes in the case of Pakistan due

to its proven inability to deliver results and abstained from voting. “In the 35 years since 1989, Pakistan has had disbursements from the IMF in 28 years. In the last five years since 2019, there have been four IMF programmes. Had the previous programmes succeeded in putting in place a sound macroeconomic policy environment, Pakistan would not have approached the Fund for yet another bailout programme,” India had said at the board meeting. According to Garg, who also served as an executive director at the World Bank, only the US has effectively a veto in the IMF. “If the US did not want the IMF to do this operation, IMF would not have brought it to the board at all,” he says, pointing out that this has been the case for Russia and Iran. The IMF did not respond to a detailed email query sent by *Business Today* on the bailout package to Pakistan.

COST OF WAR

Pakistan's survival is dependent on loans. The recent escalation with India has also raised questions over its priorities and the impact this war-like situation has on its economy and investor confidence.

“Sustained escalation in tensions with India would likely weigh on Pakistan's growth and hamper the government's ongoing fiscal consolidation, setting back Pakistan's progress in achieving macroeconomic stability,” warned a recent report by Moody's Ratings.

Pakistan's macroeconomic conditions have been improving, supported by assistance from the IMF and other multilateral agencies, with growth gradually rising, declining and foreign exchange reserves increasing amid continued progress under the IMF programme, the report highlighted. However, it also cautioned that a persistent increase in tensions could also impair Pakistan's access to external financing and pressure its foreign exchange reserves, which remain well below what is required to meet its external debt payment needs for the next few years.

A report by JM Financial noted that the impact of India-Pakistan conflicts on India's economy has been far greater. “It is also pertinent to note that the Indian economy now is far larger and more resilient than what it was during previous conflicts,” it said.

The report states that during the Indo-China war of 1962, India's GDP declined by 0.8%, while India's GDP declined 2.6% in 1965, post the Indo-Pak war in 1965, after growth of 7.5% in FY64-65.

Though India's GDP growth did not contract during the 1971 Bangladesh liberation war, there was a slowdown. GDP growth in FY71-72 declined to 1% from 5% in FY70-71, according to the JM Financial report. Only